Riyadh Cables Group Company

Tadawul: 4142 · Capital Goods — Electrical Equipment (wire & cable) · Saudi Arabia

Fair-value range (weighted central) SAR 108 per share · full span SAR 64–188 · spot SAR 104.90 (3% to the central)

READ FIRST. This is an independent, educational valuation study. It is not investment advice, not a recommendation, and not a price target. Every figure is a model output shown as a range, built only from Riyadh Cables' own audited financial statements and its filed results. A companion workbook carries the full model; a companion bibliography lists every source.

What the number means. The four valuation lenses below place fair value between about SAR 91 and SAR 123 per share; weighting them gives a central of SAR 108, about 3% above the SAR 104.90 market price. The lenses disagree, and that disagreement is the point: the intrinsic cash-flow lens sees clear value, the exit-multiple lens is more cautious.

The one thing to watch. Riyadh Cables is a metal converter — copper and aluminium are about 95% of its cost of sales. Its gross margin is therefore an OUTPUT of the metal price, not a stable input. The study's central judgement is the margin the business holds now that the 2024–25 metal tailwind has passed; it is anchored on the most recent reviewed half-year (15.3%) and shown both ways against the higher full-year 2025 print.

Headline

Riyadh Cables is the largest Saudi manufacturer of electrical cables and wire. Revenue has grown from SAR 7.8bn in 2023 to SAR 10.7bn in 2025 (a 17% annual pace), and net profit has doubled to SAR 1.08bn, as gross margin climbed from 12.4% to 16.2%. Part of the 2025 step-up is acquired rather than organic: Qatar Cables moved from a 50% associate to a wholly-owned subsidiary in April 2025, and a 51% stake in Artikul Aziya Kabel (Uzbekistan) was added late in 2025. The company is lightly geared — net financial debt of about SAR 385mn is a fraction of its SAR 15.7bn market value — earns a return on equity of about 37% (a return on invested capital of about 26%), and paid out 55% of its 2025 earnings.

Our central fair-value estimate is SAR 108 per share, about 3% above the SAR 104.90 price. The intrinsic discounted-cash-flow lens is the most positive at SAR 123; a cautious exit-multiple reading is the least, at SAR 91; the earnings-power and book-value lenses sit in between at SAR 102 and SAR 95. The single most important assumption is the sustained gross margin: at the recent half-year's 15.3% the cash-flow lens is worth SAR 123; if the 2025 full-year 16.0% holds it is worth SAR 135; if it compresses to 14.5% it is worth SAR 112.

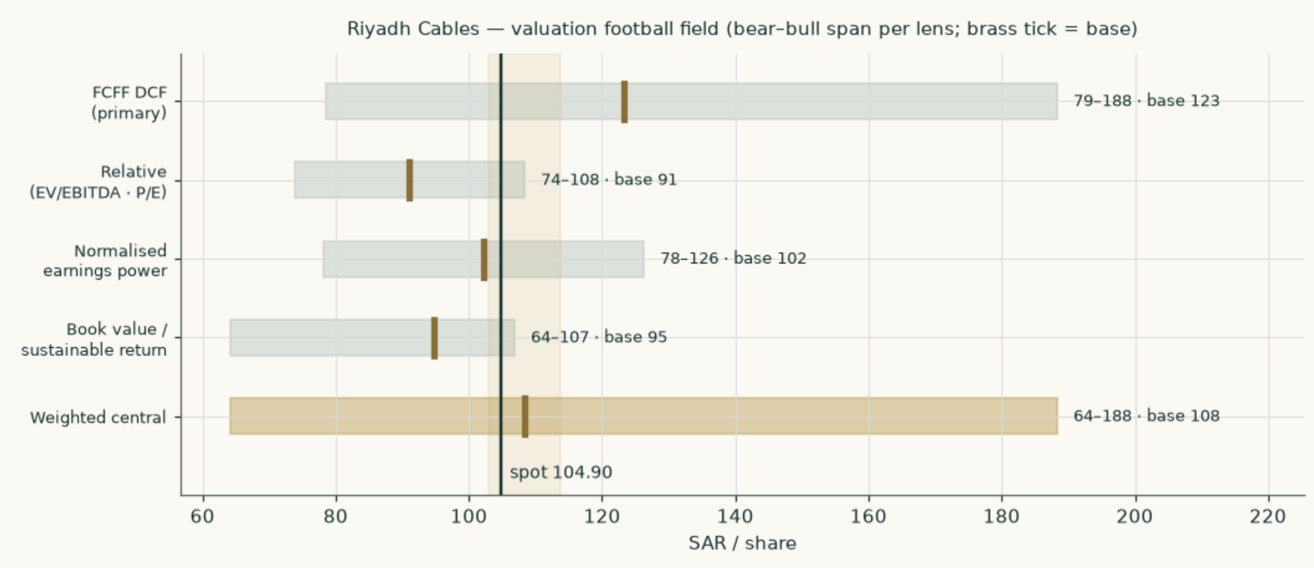

Figure 1. Valuation football field — the bear-to-bull span of each lens; the brass tick is the base case; the vertical line is the market price.

Valuation summary — every read at a glance

Lens	Bear	Base	Bull	Weight	vs spot
Discounted cash flow (primary)	79	123	188	45%	18%
Relative multiples	74	91	108	20%	-13%
Normalised earnings power	78	102	126	20%	-3%
Book value and sustainable return	64	95	107	15%	-10%
Weighted central	**64**	**108**	**188**	**100%**	**3%**
Expert panel median		123			18%
Market price (anchor)		104.90			—

Terminal value as a share of the discounted-cash-flow enterprise value: **80%**. Enterprise value / EBITDA **11.9x** and price / earnings 14.5x on the FY2025 accounts (13.9x on trailing-twelve-month earnings). Cost of capital 10.5% today, easing to 9.7% in perpetuity.

The contested judgement, both ways. The sustained gross margin drives the cash-flow lens more than any other input. Anchored on the reviewed H1-2026 actual of 15.3%: SAR 123/share. On the 2025 full-year 16.0%: SAR 135. On a further compression to 14.5%: SAR 112. We publish the three side by side and do not average them into one number.

Company overview

Riyadh Cables Group Company is a Saudi joint-stock company founded in 1984 and listed on the Saudi Exchange (Tadawul) in December 2022. It manufactures low-, medium-, high- and extra-high-voltage power cables, building wire, and telecommunications cable, from plants in Riyadh's industrial cities. It is the largest cable maker in Saudi Arabia and a significant exporter into the wider Gulf.

The business reports three segments. Cables and wire is by far the largest at SAR 10.4bn, 98% of 2025 revenue; high-voltage turnkey projects add SAR 231mn (2.2%); and other products — chiefly telephone cable and services — a further SAR 29mn. By destination, 73% of sales are inside Saudi Arabia and 27% are exports, predominantly to the United Arab Emirates (about SAR 2.2bn in 2025).

Two corporate steps reshaped the perimeter recently and are named rather than blended away: on 17 April 2025 the group acquired the remaining 50% of Qatar Cables Company, consolidating a business it had equity-accounted; and late in 2025 it acquired 51% of Artikul Aziya Kabel LLC in Uzbekistan — the source of the SAR 63mn non-controlling interest the value bridge deducts. An early-stage memorandum of understanding on Syria was disclosed in 2026. The organic/acquired split of the 2025 revenue step-up is not separately disclosed, and the study says so rather than estimating it.

The balance sheet is that of a metal converter: inventory of copper and aluminium and a large trade-receivables book (together about 48% of revenue), part-funded by trade payables and a supplier-finance facility, with only modest interest-bearing debt. The company hedges copper, aluminium and lead through commodity forwards. It is not a bank, a developer or a holding company; it is an operating manufacturer, and it is valued as one — a discounted-cash-flow model first, cross-checked against multiples, earnings power and book value.

1 Fundamental valuation

1.1 Cash-flow model — the free-cash-flow waterfall and the value bridge

The primary lens is a five-year discounted cash flow to the firm. Operating profit is taxed at a forward blended zakat-and-income-tax rate of 9.5% — set just above the audited 2025 effective rate of 9.0% for the growing foreign share of profits; at the 2025 actual rate the lens would be about half a percent higher. Depreciation is added back, and capital expenditure and the investment in working capital are subtracted, to give free cash flow to the firm. Each year is discounted at its own cost of capital, gliding from 10.5% to 9.7%. Discounting is year-end with annual compounding (a mid-year convention would raise this lens by roughly 4%), and every lens in this study is stated at 31-Dec-2025 and then rolled 230 days to the 18-Aug-2026 anchor at the cost of equity, less the SAR 2.25 dividend paid in May 2026 — the same roll the bridge below shows explicitly.

SAR mn	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	11,513	12,410	13,364	14,264	15,143
EBITDA	1,360	1,478	1,598	1,720	1,826
EBITDA margin	11.8%	11.9%	12.0%	12.1%	12.1%
Depreciation & amortisation	98	105	114	121	129
EBIT	1,262	1,373	1,485	1,599	1,698
NOPAT (EBIT×(1−t))	1,142	1,242	1,344	1,447	1,536
+ Depreciation & amortisation	98	105	114	121	129
− Capital expenditure	219	223	237	252	268
− Change in working capital	290	251	267	252	246
Free cash flow to firm	731	873	954	1,064	1,151
Discount factor	0.9051	0.8205	0.7452	0.6780	0.6180
PV of FCFF	661	716	711	721	711

Sum of the present values of the five explicit years is SAR **3,521mn**; the present value of the terminal value is SAR **14,511mn** (80% of enterprise value); together the enterprise value is SAR **18,032mn**.

Enterprise value to equity (SAR mn)	
Enterprise value	18,032
of which terminal value (80% of EV)	14,511
Less: net financial debt	-385
Add: associates + non-operating assets	52
Less: non-controlling interests	-63
Equity value attributable	**17,636**
Value per share at 31-Dec-2025 (SAR)	117.80
Rolled to the 18-Aug-2026 anchor, net of dividend (SAR)	**123.28**

The enterprise-to-equity bridge. The terminal-value share is shown on its own line, and again in the summary table and the companion workbook, where it is a live formula.

1.2 Book value and sustainable return

Equity attributable to shareholders was SAR 3.25bn at end-2025, or SAR 21.68 per share. Trailing return on average equity is about 37% — very high, but flattered by the 2024–25 metal tailwind and a large receivables book. We take a sustainable return of 28%. Capitalised against a terminal cost of equity of 9.7% and 4% growth, that supports a justified price-to-book of 4.2x — SAR 91 at end-2025, SAR 95 rolled to the anchor. One consistency is stated rather than hidden: 28% sustainable return with 4% growth implies a terminal payout near 86%, above the 55% paid through the explicit years — the lens prices the far steady state, where reinvestment needs fade, not the build-out decade. The bear case discounts a lower return at the higher explicit-window cost of equity; the base and bull use the terminal rate.

1.3 Relative multiples

Riyadh Cables trades at about 11.9x enterprise value to EBITDA and 14.5x earnings on the 2025 accounts (13.9x on trailing-twelve-month earnings through June 2026 — the basis is labelled wherever a multiple appears). The global cable majors, recomputed from their own market values and their own raised 2026 guidance at the study date, trade far richer than the old rule of thumb: Prysmian about 14x forward EBITDA (guidance raised 30-Jul-2026) and Nexans about 8.7x, so the developed band runs roughly 8.5–14.5x; the fast-growing Indian names (Polycab, KEI) sit near 29–31x on the next twelve months. We apply 10.0x to 2027 EBITDA of SAR 1,478mn — a deliberate discount to that band, not its mid-point, for a single-country, single-customer-concentrated base — discount it at the year-two factor, add the interim cash flows and roll to the anchor: SAR 91 per share, still the most cautious lens.

1.4 Normalised earnings power

Stripping cycle from the earnings, a mid-cycle EBITDA margin of 12.0% on current-scale revenue of SAR 11,513mn, after depreciation, financing and tax, yields normalised earnings of about SAR 7.54 per share. At a through-cycle 13x — appropriate for a high-return, low-leverage regional leader with a roughly 11% cost of equity — that is SAR 98 at end-2025, SAR 102 rolled to the anchor.

1.5 Synthesis — four lenses, one field

The four lenses span SAR 91 to SAR 123. We weight the discounted cash flow most (45%) because the company’s cash flows are directly modelled from a disclosed cost structure; the relative and earnings-power lenses each 20%; and book value least (15%), because book understates a business earning a mid-20s return on invested capital and a high-30s return on equity. The weighted central is SAR 108.

1.6 The drivers — each segment on its own driver, margin as an output

Revenue is not grown at one rate. A cable maker sells metal plus a conversion spread. We model a cable-tonnage index, priced as metal content — on its own copper-and-aluminium path — plus a conversion spread whose cost escalates on domestic inflation. Volume grows 10.0% in 2026, tapering to 5.0%, anchored on the reviewed half-year statement that 2026 revenue rose 9.5% "due to the increase in the volume of quantities sold." Metal prices are held broadly flat. Stated rather than implied: with H1-2026 revenue of SAR 5,698mn (+9.5%) in the books, the full-year build implies second-half revenue of SAR 5,815mn, +6.3% against a second half of 2025 that already carried the strong-metal revenue base — a deliberate deceleration, not an oversight. Gross margin is then an OUTPUT of the stack — 15.3% in 2026 rising gently to 15.4%, and never back to the 2024–25 peak. In the companion workbook the spread per tonne is calibrated to this margin path at the base metal price and held fixed under metal shocks, so the margin cell falls when the metal cell rises — the mechanism is live, not narrated.

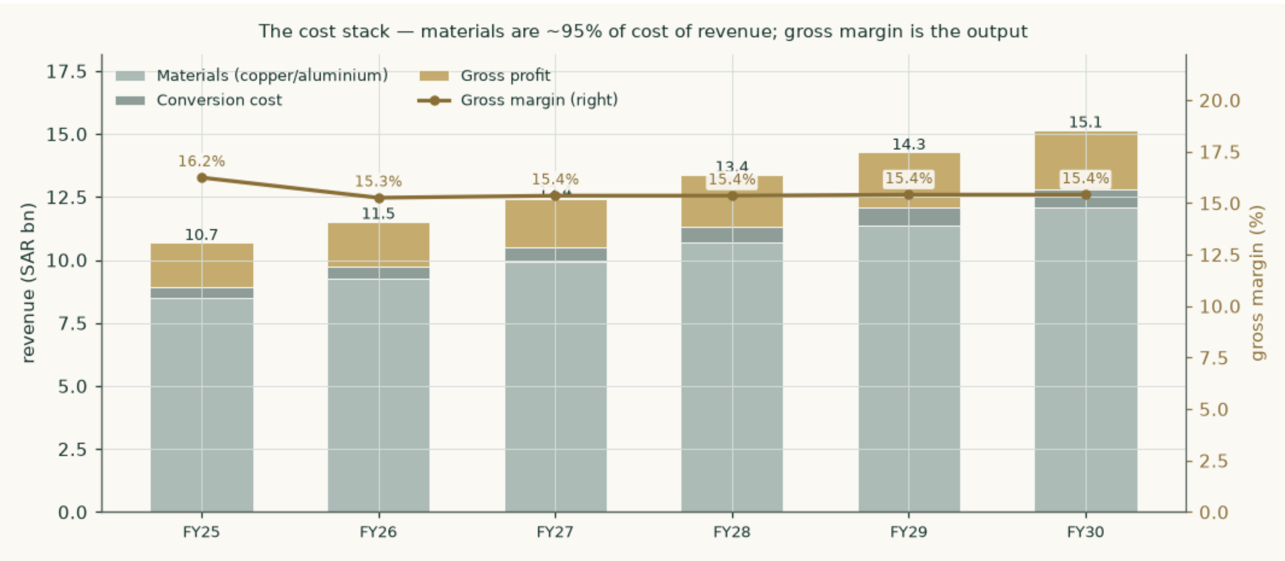

Figure 2. The cost stack. Materials (copper and aluminium) are about 95% of cost of sales; the gross margin, shown on the right axis, is what is left after materials and conversion cost — an output, not an input.

1.7 The crux — the sustained gross margin

The crux is simple to state and consequential. Gross margin rose from 12.4% in 2023 to a 16.2% peak in 2025 as metal prices moved the company’s way. In the first half of 2026, on a 9.5% rise in revenue, gross profit was essentially flat against a first half of 2025 at 16.7% — the like-for-like compression is about 1.5 points, and the half deteriorates within itself: 15.6% in the first quarter, 15.0% in the second. That is the metal pass-through working in reverse: volume-led growth at a normalising per-tonne spread. We anchor the forecast on the reviewed half-year average (15.3%), not the higher full-year 2025 print, and we show the value all three ways: at the anchor SAR 123, at the second-quarter exit rate held for the whole forecast SAR 119, and at the 14.5% bear framing SAR 112. The falsifier is unchanged — a sustained margin below 14.5% — and the third-quarter print is the live test.

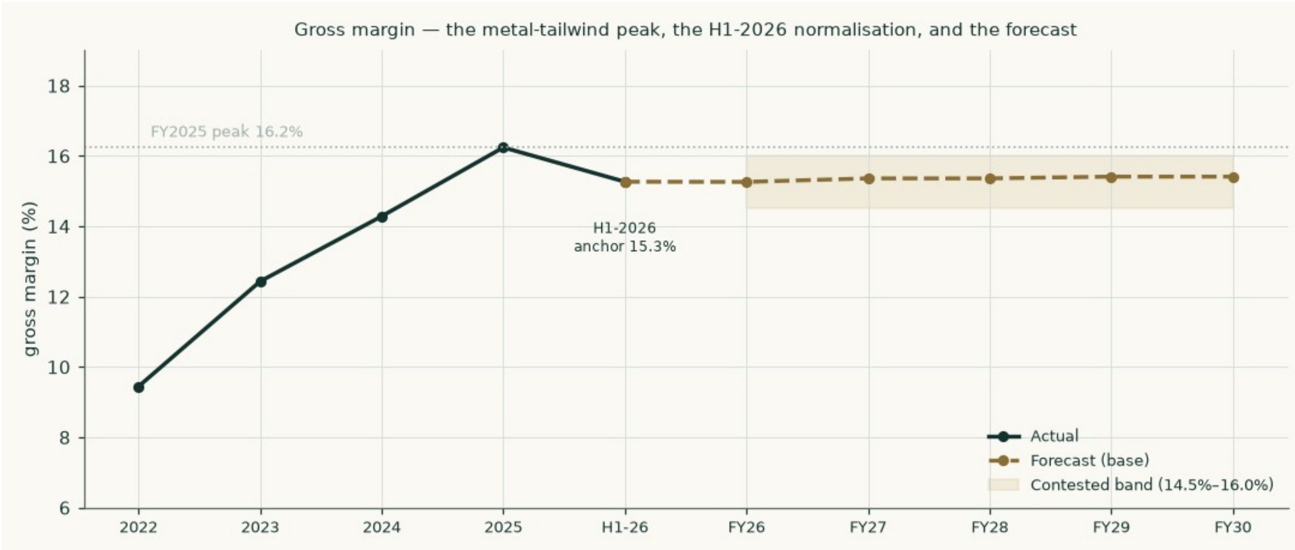

Figure 3. The gross-margin story: the 2024–25 metal-tailwind peak, the first-half-2026 normalisation to 15.3%, and a forecast that recovers only gently and stays below the peak. The shaded band is the contested range carried through the valuation.

1.8 Macro and country — the cost of capital, built up

The cost of capital is built from sourced, dated components. The ten-year SAR risk-free rate is 5.52%, taken from the published Saudi government bond curve — the index provider's factsheet of 31-Jul-2026 puts the 7–10-year bucket's yield at 5.52% on an upward-sloping curve — and corroborated by the ten-year US Treasury (4.68–4.72% that week) plus Saudi Arabia's dollar new-issue spread, and by the SAR sukuk index level; it is sensitised ±50bp below. Saudi Arabia is rated Aa3; its adjusted sovereign default spread is 0.48% and its equity risk premium 4.94% (a 4.20% mature-market base plus a 0.74% country premium, July-2026 dataset). We subtract the sovereign's own default spread from the risk-free rate to avoid charging country risk twice, and add beta times the premium. Beta is 1.129 — a Dimson sum-beta on 185 weekly returns against the Tadawul All Share Index over the full listed history (plain OLS 0.928; R^2 0.14; 90% confidence interval 0.62–1.64 — wide, and priced in the beta grid below). That gives a cost of equity of 10.6%. Debt is marginal and cheap — variable-rate Islamic Murabaha whose margin the filings do not disclose, estimated at about 5.9% (three-month SAIBOR plus a corporate margin), above the sovereign as a corporate must be. The weighted cost is 10.5%, easing to 9.7% in perpetuity as the country premium narrows and beta reverts toward one; the terminal is discounted all-equity because the model's own forecast reaches net cash from 2028.

Cost of capital	Explicit	Terminal
Risk-free rate (SAR 10-year), normalised	5.04%	5.04%
Equity risk premium	4.94%	4.68%
Beta	1.129	1.00
Cost of equity	**10.62%**	**9.72%**
Cost of debt (after tax)	5.34%	4.98%
Net-debt weight	2.4%	0%
Weighted cost of capital	**10.49%**	**9.72%**

1.9 Sensitivity

Fair value is most sensitive to the risk-free rate (a ±50bp move is worth roughly SAR 136 / 123 / 113 on the cash-flow lens, since it enters both the explicit and the terminal discount rate), then to the terminal growth rate and terminal cost of capital, the sustained margin, beta and working-capital intensity. The grid below revalues the cash-flow lens across the terminal cost of capital and terminal growth; cells where the terminal spread falls below two points are shown as n/m rather than as numbers, because a growing perpetuity is not meaningful there. The companion workbook carries the full set, and every block's base row reproduces the base case.

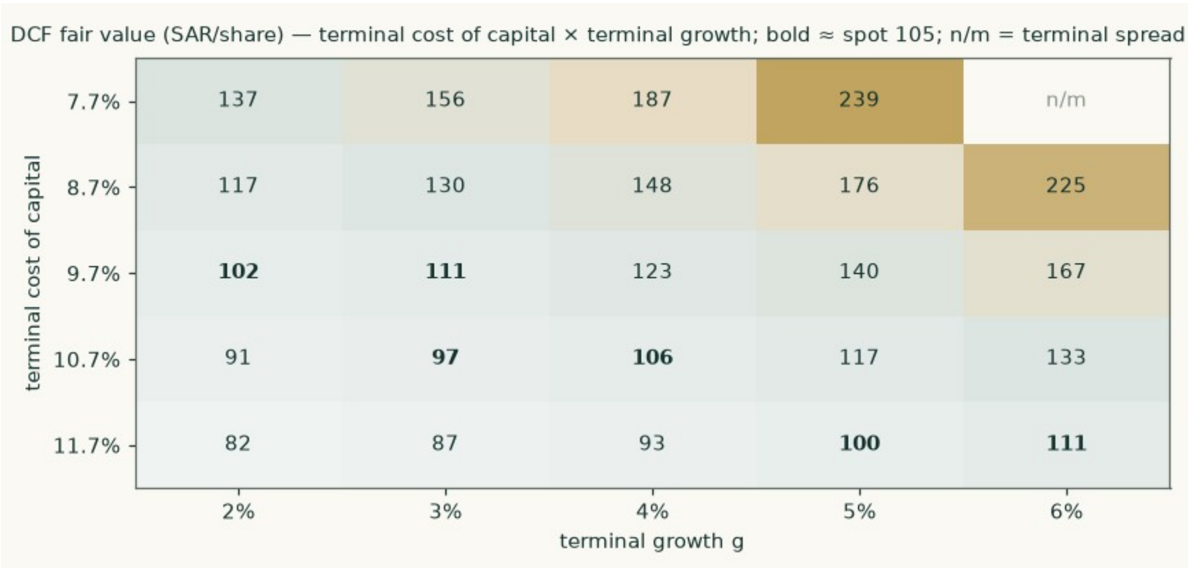

Figure 4. Cash-flow fair value (SAR/share) across the terminal cost of capital and terminal growth; the bold cells sit closest to the current price.

2 Technical and price structure

The shares last traded at SAR 104.90, near the lower end of a 52-week range of SAR 99.80–142.50. The price sits below all four of its moving averages: the 20-session average is SAR 105.9, the 50-session SAR 114.2, the 100-session SAR 117.9 and the 200-session SAR 122.4 — the close is about -14% against the 200-session average, after a strong multi-year run from the December 2022 listing. Every figure in this paragraph is computed from the same price series the chart draws. This section is descriptive; it carries no fundamental claim.

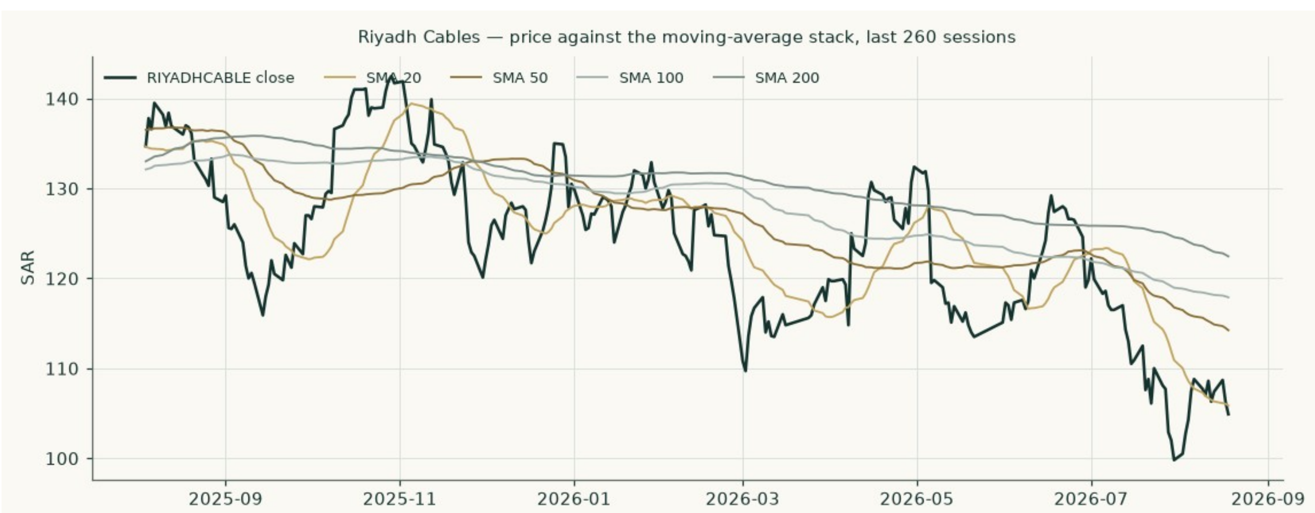

Figure 5. Price against its 20-, 50-, 100- and 200-session moving averages, last 260 sessions.

3 A probabilistic price map

Separately from the fundamental value, we map the range of prices the shares could plausibly reach over the next one and three months, from 50,000 simulated paths calibrated to the stock's own volatility. This is a statement about price risk, not about fair value.

Percentile	One month	Three months
95th (upper)	126.3	144.1
75th	112.7	118.7
50th (median)	104.9	105.1
25th	97.7	92.9
5th (lower)	87.3	76.5
Chance of finishing above today	50%	50%

Figure 6. The forward price cone to three months — the shaded bands are the 25–75% and 5–95% ranges; the dashed brass line marks the fundamental central estimate.

How well is the cone calibrated? The short listing allows only 10 non-overlapping three-month test windows, and on them the 50%, 80% and 90% bands contained 70%, 80% and 90% of actual outcomes — with ten windows, seven-in-ten against a five-in-ten target is well inside sampling noise, and the formal uniformity tests agree (chi-square p = 0.91, Kolmogorov–Smirnov p = 0.80), so the three-month map is consistent with its targets rather than proven precise; its bands also ran about 19% wider than a naive benchmark, a caution against reading them as tight. The one-month map is weaker and we say so: across 30 one-month windows the cone scored consistently a little behind a simple random-walk benchmark and its bands were too wide (the 80% band covered 93% of outcomes) — read the one-month table as conservative ranges, not calibrated odds. On scored accuracy the three-month cone was statistically indistinguishable from the benchmark; it neither reliably beat it nor lagged it, which for a liquid large-cap is the honest result. Because the company only listed in December 2022, the calibration rests on that short own history together with the broader Saudi-market evidence behind the same simulation model; a five-year single-name record will exist in time. The level-touch chances above are read directly from the simulated paths.

4 Comparison of the lenses

The lenses disagree by design, and the disagreement is informative. The intrinsic discounted-cash-flow value (SAR 123) is the highest: it rewards a high return on capital, durable mid-single-digit growth and a low Saudi cost of capital, and it is terminal-heavy (80% of value beyond year five). The relative lens (SAR 91) is the most cautious: it holds the company to a mid-range exit multiple below where it trades today. Earnings power (SAR 102) and book value (SAR 95) sit between. Read together: the market price sits 3% below the weighted central, inside the span the four lenses draw, and which side of fair value one reads depends on how much credit one gives the intrinsic economics versus the exit multiple. The weighted central of SAR 108 splits that difference; the reader weighs it, this study does not recommend.

5 Catalysts to watch

- **Margin prints —** the quarterly gross margin. The single most important number. Each quarter's reviewed margin tests the sustained-spread judgement directly.
- **Metal prices —** copper and aluminium. A sustained metal move changes revenue and the reported margin; watch that gross profit per tonne, not the headline margin, holds.
- **Volume —** Saudi grid and construction spend (Saudi Electricity Company, giga-projects, housing) drives domestic volume, about three-quarters of sales.
- **Exports —** the export share (about a quarter of sales, mostly the UAE) and any new-market wins, including the early-stage Syrian memorandum of understanding disclosed in 2026.
- **Capital —** semi-annual dividends and any change in the payout; the shareholder-approved purchase of up to 300,000 treasury shares for the employee incentive plan (May 2026, unexecuted at the study date; under 0.2% of shares if completed); capital returns; and the completion of the current capacity build.

6 Reading the probability zones

The fundamental range and the price cone answer different questions. The fundamental central (SAR 108) is where the business is worth on its cash flows; the price cone (a three-month 5–95% range of about SAR 77 to SAR 144) is where the price could travel on volatility alone. When the fundamental estimate sits above the price, as here, the gap is the potential the intrinsic lens sees; the cone is a reminder that the path is wide and the outcome uncertain over any short horizon.

7 Caveats and what would change our mind

- **The margin —** if the sustained gross margin settles below 14.5% — a competitive or metal-driven squeeze on the conversion spread — the cash-flow lens falls toward SAR 112.
- **Terminal reliance —** the value is terminal-heavy (80% of enterprise value). A higher terminal cost of capital or lower growth cuts it materially, as the sensitivity grid shows.
- **Concentration —** revenue is single-country-concentrated and customer-concentrated (one customer was about 19% of 2025 revenue); the beta is estimated on a short listed history with a wide confidence interval.
- **Working capital —** a working-capital-heavy model ties cash in copper inventory and receivables; a stretch in either absorbs the cash the cash-flow lens counts.
- **Short record —** the price cone rests on a three-and-a-half-year listed history, shorter than the five-year ideal.

Appendix A Financial statements

A.1 Income statement — three years actual, five years forecast

SAR mn	2023	2024	2025	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	7,825	9,007	10,674	11,513	12,410	13,364	14,264	15,143
Gross profit	973	1,287	1,733	1,757	1,906	2,053	2,198	2,334
Gross margin	12.4%	14.3%	16.2%	15.3%	15.4%	15.4%	15.4%	15.4%
EBITDA	714	1,037	1,352	1,360	1,478	1,598	1,720	1,826
EBIT	648	968	1,267	1,262	1,373	1,485	1,599	1,698
Net finance cost	-89	-88	-74	-27	-23	-15	-6	6
Profit before zakat	559	881	1,192	1,235	1,350	1,470	1,593	1,703
Net profit	518	817	1,085	1,117	1,222	1,330	1,442	1,541

A.2 Balance sheet — three years actual

SAR mn	2023	2024	2025
Property, plant & equipment	1,207	1,336	1,492
Inventory	1,909	2,126	2,411
Trade & other receivables	1,419	2,112	2,713
Cash & equivalents	150	91	236
Total assets	4,831	5,812	7,282
Gross borrowings incl. leases	731	440	621
Net financial debt	581	350	385
Equity attributable	2,247	2,624	3,246

A.3 Forecast balance-sheet and cash-flow markers

SAR mn	FY26E	FY27E	FY28E	FY29E	FY30E
Net working capital	3,224	3,475	3,742	3,994	4,240
Net financial debt (end)	291	108	-104	-373	-684
Capital expenditure	219	223	237	252	268
Free cash flow to firm	731	873	954	1,064	1,151
Dividend	612	669	729	790	844
Attributable profit	1,113	1,217	1,325	1,436	1,535

Appendix B Peer frame, risk register, and the research register

B.1 Peer frame

Peer	Market	EV/EBITDA	Basis (each multiple recomputed from the peer’s own EV and guidance)
Riyadh Cables (subject)	Tadawul	11.9x	FY2025 accounts; P/E 14.5x FY2025, 13.9x trailing twelve months
Prysmian	Milan	~14x	FY2026E on guidance raised 30-Jul-2026 (EUR 2.8–2.9bn) vs ~EUR 40bn EV

Nexans	Paris	~8.7x	FY2026E on guidance raised 29-Jul-2026 (EUR 770–840mn) vs ~EUR 7.1bn EV
Polycab India	NSE	~29x	next twelve months
KEI Industries	NSE	~31x	next twelve months (~24–25x only two fiscal years out)
Ducab	UAE (private)	—	regional peer, unlisted

Quotes as of 18-Aug-2026; cross-check context only, never a source for any Riyadh Cables figure. The justified 10.0x applied in the relative lens is a deliberate discount to the developed band above for single-country and single-customer concentration.

B.2 Risk register

- **Margin —** concentrated in the conversion spread; a normalising or competed margin is the main downside.
- **Metal —** copper/aluminium price and availability; hedged, but a sustained move still moves reported results.
- **Concentration —** single-country and single-customer concentration (one customer ~19% of 2025 revenue).
- **Cash —** working-capital intensity and receivables quality (a SAR 151mn receivables impairment in 2025).
- **Data —** short listed history for the beta and the price-cone calibration.

B.3 Research register

Every figure in this study traces to a primary source. The full register — each input with its value, date, source and how it was constructed — is in the companion bibliography document. In summary: the historical income statement, balance sheet, cash flow, segment, cost and inventory figures come from Riyadh Cables' own audited consolidated financial statements for 2022 through 2025 (KPMG, unmodified opinions); the 2026 near-term anchor is the company's Tadawul-filed reviewed half-year results; the cost of capital uses the published Saudi sovereign and equity-risk-premium data and the Tadawul index for beta; and metal prices are the London Metal Exchange copper and aluminium references. No data aggregator, broker note or press report is a source for any company figure.

Appendix C Expert panel

Three valuation methods on the same forecast base, each isolating a different driver of value, each worked in full with a condition that would prove it wrong. They are not independent evidence — they share the revenue build, the margin path and the cost of capital — and the study says so; what they add is where the value sits, not a second opinion on the forecasts. They are labelled Expert 1, 2 and 3 and cast by method. Every figure below is a live formula in the companion workbook.

C.1 Expert 1 — earnings power

Worldview: value a stable manufacturer on mid-cycle earnings and a through-cycle multiple. Works when earnings are recurring; fails if the cycle breaks structurally. Mid-cycle EBITDA margin 12.0% on revenue at the 2028 scale (SAR 13,364mn) gives EBIT of SAR 1,485mn; less a normalised net interest charge of SAR 26mn — the year-three cost of debt on the 2025 gross debt, less deposit income on the 2025 cash, not any single forecast year's line — then tax and minorities, earnings are SAR 8.78 per share; at 13.0x that is SAR 114 at end-2025 and SAR 119 rolled to the anchor (range SAR 91–147). Falsifier: a sustained margin below 14%.

C.2 Expert 2 — owner cash earnings

Worldview: an owner earns the free cash flow after real reinvestment; capitalise mid-cycle owner cash at the cost of equity. Works for a cash-generative business; fails if reinvestment is understated. Mid-cycle free cash flow to the firm (the 2028–30 average, SAR 1,056mn), less after-tax net interest of SAR 23mn on the same normalised basis as Expert 1 and net of minorities, is owner cash of about SAR 1,029mn; grown at 4% and capitalised at the 9.7% terminal cost of equity, then rolled to the anchor, that gives SAR 131 (range SAR 89–161). Falsifier: free cash conversion staying below half of earnings.

C.3 Expert 3 — cash returns versus the cost of capital

Worldview: value is invested capital plus the present value of returns above the cost of capital. Works when returns are measurable and durable; fails if the return advantage erodes. Invested capital of SAR 4,425mn plus the present value of economic profit (SAR 13,607mn) gives SAR 123 per share (range SAR 90–142). By construction this decomposition reproduces the cash-flow lens exactly — value equals capital plus excess returns is the same money counted another way, and the workbook shows the two agree to the riyal; what it isolates is how much of the value is excess return on capital rather than capital itself. Falsifier: return on capital falling toward the cost of capital.

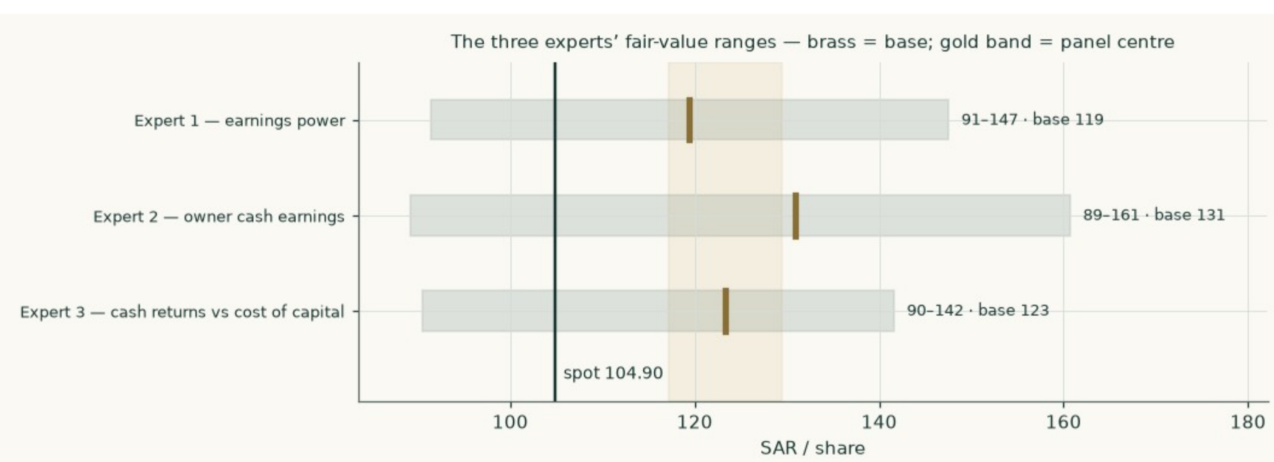

Figure 7. The three experts' fair-value ranges; brass ticks are base cases, the gold band is the panel centre.

C.4 Cross-examination

- **On the multiple:** Expert 1's multiple is challenged as too high for a single-country name — conceded in the bear case (10x), rejected as the base given the return profile.
- **On reinvestment:** Expert 2's reinvestment is challenged as too light — rejected: capital expenditure ran at 2.2% of revenue in 2024 and 1.8% in 2025 on the audited cash-flow statements, the forecast never drops below the 2025 rate, and the model still charges working-capital investment.
- **On durability:** Expert 3's durability of returns is challenged — conceded that the mid-20s return on capital will fade toward the cost of capital eventually, which is why the terminal return is struck at 25% and terminal growth at 4%.

C.5 The three in one room

The three methods land at SAR 119, SAR 131 and SAR 123, a median of SAR 123 — which is Expert 3, and Expert 3 is arithmetically the cash-flow lens, so the median is a restatement of the primary lens, not a second vote for it. They agree the business is high-return and under-levered; they differ on how much of that return the future keeps.

C.6 Reading the divergence

The gap between the experts is almost entirely the terminal assumption: how durable the return advantage and the growth are. Expert 2, which capitalises owner cash into perpetuity, is the most sensitive to it and sits highest; Expert 1, on a fixed exit multiple, is the most anchored and sits lowest. The same single lever — the sustained margin and the terminal cost of capital — moves all three, which is why it is the study's crux.

About this series

Testahil publishes independent, educational valuation studies. Each is built from a company's own audited disclosures, values the business through several lenses, and states its assumptions and its uncertainty openly. A companion workbook carries the full model as live formulas; a companion bibliography lists every source. The studies are analysis, not advice.

Revision note — second edition, 19 August 2026

This edition supersedes the first edition of 18 August 2026 following an external review; the valuation anchor remains 18 August 2026. The material corrections, all applied through the model rather than patched into the text: the ten-year SAR risk-free rate moves from an estimated 4.85% to the published curve's 5.52% (entering both the explicit and the terminal discount rate); the May-2026 dividend netted in the anchor roll is the SAR 2.25 actually paid, not 1.90; the settled 18-Aug close of SAR 104.90 replaces an unsettled 104.80 print; the peer multiples are recomputed from the peers' own guidance and the justified multiple re-set as a stated discount to the corrected band; capital expenditure is floored at the audited 2025 rate; the terminal is discounted all-equity, consistent with the model's own net-cash forecast; the July-2026 sovereign-risk vintage is adopted; and the workbook's cost-stack now carries the spread-per-tonne mechanics live, so margin is an output on the sheet, not only in the prose. Together these move the weighted central from SAR 119 to SAR 108 per share. Smaller corrections — the FY2023 depreciation transcription, the FY2023 payables definition, header alignment and ratio wiring in the workbook, and disclosure additions throughout — are listed in the companion bibliography and the repository's response document.

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